

India's Regional Economic Divide: Is Northern India Catching Up?

Economic Momentum & Convergence Analysis



Key Message:

Evaluating whether Northern India's historical underperformance is structurally improving

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PROBLEM & HISTORICAL CONTEXT

Structural Gap: A Persistent Economic Divide

- South → ~20% population → ~30% GDP → ~35% FDI
- North → ~45% population → ~25% GDP
- Gap widened post-1990s liberalization

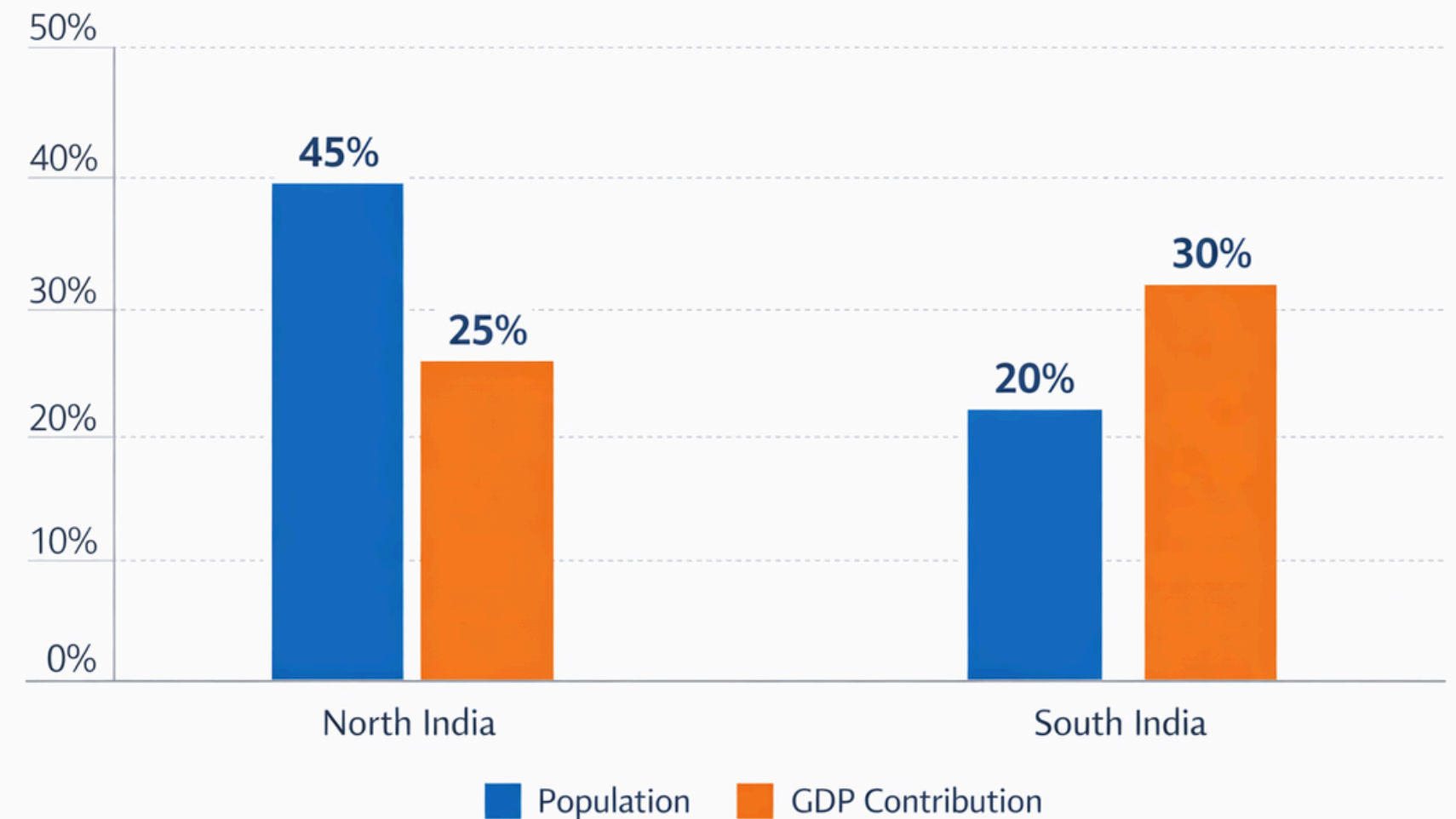
Impact:

High population, low productivity in North

Observation:

Economic output disproportionately concentrated in Southern states

Population vs GDP Share: North vs South India



North India has a significantly higher population share but lower GDP contribution, indicating lower productivity levels.

Sources:

MOSPI

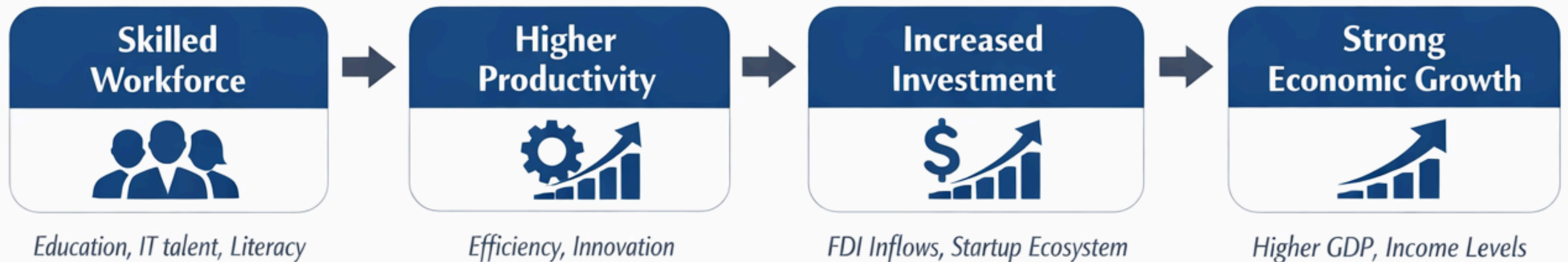
RBI

Economist

WHY SOUTH LEADS

Structural Drivers of Southern Outperformance

- Skilled workforce availability
- Higher urbanization rates
- Better governance & policy continuity
- Cluster-based ecosystems (IT, Auto, Electronics)



Observation:

Structural advantages create compounding economic leadership

NORTHERN INDIA: SIGNS OF IMPROVEMENT

Emerging Economic Momentum in the North

- Infrastructure push → Expressways, DFCs
- PLI schemes → Manufacturing boost
- Rising investments → Electronics, logistics
- Policy focus improving

Evidence:

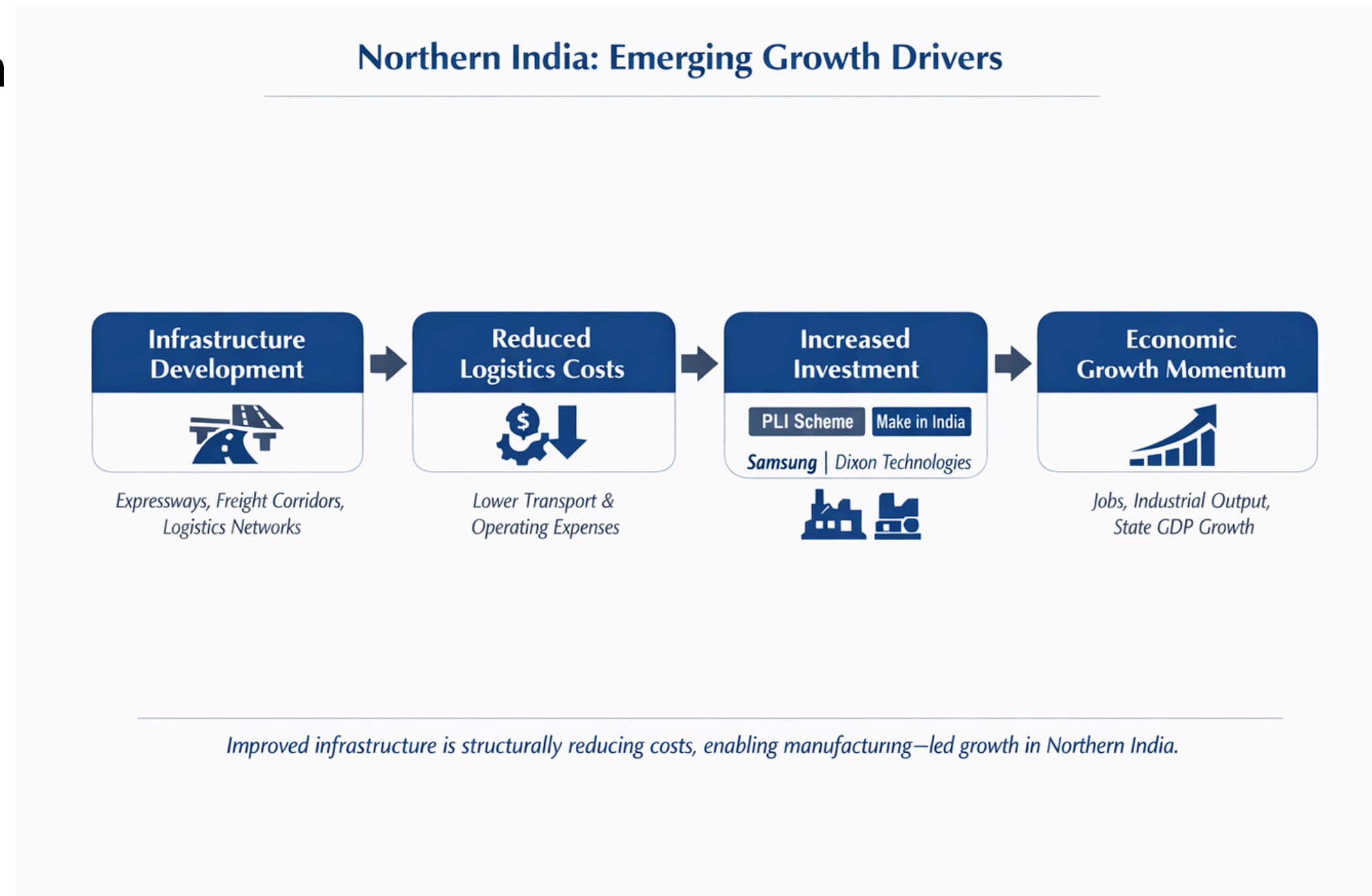
- Samsung manufacturing – Uttar Pradesh
- Dixon Technologies – Noida cluster
- Freight corridors → Logistics efficiency

Trend:

Investment momentum improving post-2020 (PLI-led shift)

Observation:

Underperformance is declining, but progress remains uneven



CONCLUSION & FUTURE OUTLOOK

Convergence in Progress, Not Complete

Current Situation:

- South → Efficiency & capital leader
- North → Emerging manufacturing hub

Challenges:

- Skill gap
- Low urbanization
- Execution inefficiencies

Future Outlook:

- Manufacturing shift → North India
- Gradual regional convergence

Final Insight:

The gap is narrowing directionally, but convergence remains execution and human-capital dependent.

